

which takes up almost 60 per cent of a mobile company's capital expenditure. It costs an average Rs 30 lakh to set up a tower.

"The idea emanated from the fundamental philosophy that companies should focus on their core competency," says Gupta, who is also the chairman of Indus Towers. "The business was about engineering, and we thought that this domain knowledge was better outside, given the skill sets required." Thanks to cut-throat competition between operators, the telecom industry grew in, what Gupta calls, an "unscientific manner", with clusters of mobile towers coming up within a short radius.

That had to be corrected as it would mount huge inefficiencies later, and so they decided to spin towers into a specialised company which would not only maintain the passive infrastructure, but also simultaneously ensure that it be shared between all the operators. This would help faster roll-out of networks, especially in rural areas, and enable wider access to affordable services for all. Moreover companies will have more funds available for spectrum acquisition or expansion. Tower-sharing works well for markets like India where the num-

ber of operators is quite large and so the tower companies can have a greater number of tenants. The Standard Chartered Bank has forecast an increase in the number of mobile towers in India from around 2.4 lakh today to 4.5 lakh by 2014, making it a huge investment opportunity.

Today with one lakh towers, Indus Towers is the world's largest independent tower company. Its competitors, Reliance Infratel has 48,000 towers, while the Tata Teleservices-Quippo tower company has around 18,000 towers. Indus Towers, reckons Gupta, could have close to 1.1 lakh towers by March 2010. The company is also looking at an IPO in the future. However, there will be challenges. The biggest, feel analysts, could be for the three companies to work together as ideological and operational differences could arise. Other challenges include increasing tenancy ratios, which is the number of operators using a tower. In order to break even, a company needs to have a tenancy ratio of 1.7 to 2. Most tower companies in India are at 1.1. The arrival of 3G will definitely help. Along with the skill of networking, which Gupta isn't short of.

by Nandini Vaish

440 million
is the number
of mobile phone
connections in
the country as
against 38
million landline
connections.

